share of profit in favour of the new partner. Hence, to compensate the sacrifice made by the existing partners, goodwill of the firm has to be valued and adjusted. In addition to capital, the new partner may contribute towards goodwill. This goodwill is distributed in the sacrificing ratio to the old partners who sacrifice.

5.6.1 Accounting treatment for goodwill

Accounting treatment for goodwill on admission of a partner is disccussed below:

1. When new partner brings cash towards goodwill
2. When the new partner does not bring goodwill in cash or in kind
3. When the new partner brings only a part of the goodwill in cash or in kind
4. Existing goodwill

1. When new partner brings cash towards goodwill

When the new partner brings cash towards goodwill in addition to the amount of capital, it is distributed to the existing partners in the sacrificing ratio. The following journal entries are to be made:

(i) For the goodwill brought in cash credited to old partners' capital account

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Cash / Bank A/c	Dr.		xxx	
	To Old partners' capital / current A/c (in sacrificing ratio)				xxx

(ii) For the goodwill brought in kind (in the form of assets) credited to old partners' capital account

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Respective Asset A/c	Dr.		xxx	
	To Old partners' capital / current A/c (in sacrificing ratio)				xxx

(iii) For withdrawal of cash received for goodwill by the old partners

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Old partners' capital / current A/c	Dr.		xxx	
	To Cash / Bank A/c				xxx

Illustration 18

Amudha and Bhuvana are partners who share profits and losses in the ratio of 5:3. Chithra joins the firm on 1st January, 2019 for 3/8 share of profits and brings in cash for her share of goodwill of ₹ 8,000. Pass necessary journal entry for adjusting goodwill on the assumption that the fluctuating capital method is followed and the partners withdraw the entire amount of their share of goodwill.

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